

The Wharton School
Venture Capital and Entrepreneurial Management

Caselette #3: Issues Encountered in Connection with a First Round Financing
(should be considered in connection with Caselette #2)

World Ventures decides to invest \$4 million in the new company formed by our three co-founders, Melissa, Daniel and Sam, with the expectation that the venture fund will own 40% of the company on completion of the financing. (Sam, by the way, has decided that the prospects of the new company are compelling enough to warrant his full-time commitment to the company, and turns away his other consulting opportunities.)

World Ventures comes to an agreement with the three co-founders that the company will have a pre-money valuation of \$6 million, based on the fully diluted capitalization that consists of 3,000,000 shares for the three founders, a simple long-term loan evidenced by a promissory note in the principal amount of \$100,000 from Sam, and 1,000,000 shares set aside as equity incentives for the future employees of the company (and this number includes the 80,000 shares already granted as options—at an exercise price of \$0.001 per share—to Sanjay). World Ventures and the founders discuss and agree upon the legal terms of the venture investment, and World Ventures receives Series A Preferred Stock reflecting its equity investment in the company.

At the first board meeting, World Ventures and the three co-founders (all of whom at this stage are designated as directors on the board) discuss the best way to structure the equity incentive plans of the company, in anticipation of an aggressive hiring program to bring on the necessary employees for the company. Among the various discussion points on this topic:

- Daniel suggests that to make sure that the company’s employees are focused on the right corporate objectives, all stock issuances to employees should be based on a 4-year vesting schedule for 60% of the stock they receive, with the incremental component of 20% of the stock they receive conditional upon first commercial sale of their enterprise product to a Fortune 50 company, and another 20% conditional upon completion of an initial public offering.
- Melissa wants to bring on two of her friends into the company, but because of commitments to their current employer, they will not be able to join the new company for 6 months. Nevertheless, Melissa wants to get them common stock at the founders’ price of \$0.001 per share, so that they can get the same “deal” that she got.
- Sam is pondering the best method to implement an equity incentive program that can address the company’s anticipated hiring program. The founders are also discussing whether they need to provide equity incentives to all employees, or whether they can confine incentive grants to the officer-level employees. The current business plan contemplates hiring 14 employees over the first

year of operations, ranging in responsibility from two vice presidents, several director-level employees, and a handful of other lower level employees, including a receptionist.

- Daniel has made it known that he expects to receive an annual “refreshment” option grant to ensure that his ownership interest in the company is not diluted below the level that results following the World Ventures investment.
- Melissa wants a three-year employment agreement with the company, so that the company cannot fire her without cause during the first three years following the World Ventures financing. She is particularly focused on making sure that she is entitled to negotiated severance benefits, including payroll continuation for one year and 100% acceleration of her then unvested shares, if she is wrongfully terminated by the Company.
- In addition, the designated representative of World Ventures who is sitting on the board of directors of the new company would like to know what steps the company has taken, or can propose to take, to protect the directors from liability.

Questions:

1. What is the post-money valuation of the new company immediately after World Ventures completes its investment? How many shares of Series A Preferred Stock will be issued to World Ventures based on the negotiated valuation? What is the price per share of the Series A Preferred Stock?
2. What thoughts would you offer regarding the vesting arrangements for employees receiving stock that was proposed by Daniel?
3. Is there any problem with Melissa’s suggestion that her two friends, who will be coming on as employees in the new company at a later date, should pay a purchase price for their stock of \$0.001 per share? If so, what would you recommend as an alternative?
4. How would you respond to Sam’s inquiry about the best means of implementing an equity incentive program, taking into account the company’s capitalization and your recommended stock price for the common stock? How deep in the organization would you go in providing equity incentives to the employees of a start up company?
5. Daniel is insisting on an annual refresher stock grant to maintain his ownership interest in the company after the World Ventures investment. Is this a reasonable position from the perspective of the investors? the perspective of the company?
6. What do you think about Melissa’s concern about financial protection in the event she is involuntarily terminated as an employee of the company?
7. What protections are available to the company to protect the directors on the board from liability arising from their activities as board members?